

Moving Home: Non-Market Insurance and Labour Market Risk*

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Abstract

Multigenerational households provide insurance against labour market risk by lowering housing costs during periods of income loss. I show that transitions into unemployment significantly increase the likelihood of moving home, and that this relationship persists into middle age after controlling for parental health and caregiving needs. Motivated by this evidence, I estimate a structural life-cycle model in which individuals insure against unemployment risk through savings or co-residence in a directed search environment. Access to co-residence allows workers to search for higher-wage jobs in exchange for longer expected unemployment durations; removing this option reduces search duration by 8 weeks but lowers match quality and consumption. The welfare value of this insurance is persistent up to age 40 because older workers are less able to recover from unemployment spells, and is equivalent to a 71% increase in unemployment insurance benefits for an ex ante consumer.

Keywords: co-residence, shared housing, labour market risk, non-market insurance

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1 Introduction

Multigenerational households are quantitatively significant in the U.S. economy, with 18% of households in 2021 including co-residing parents and adult children (Pew Research Center, 2022). One reason for this arrangement is that co-residence provides informal insurance against labour market risk by lowering fixed housing costs during periods of income loss. This mechanism is particularly relevant in a high-cost housing environment: in 2023, more than half of renter households spent over 30% of their income on housing (U.S. Census Bureau, 2024). High housing costs amplify the welfare consequences of income shocks such as unemployment, increasing the value of informal insurance arrangements like co-residence. This paper quantifies how the value of this insurance mechanism varies across the life-cycle in terms of both job search behaviour and welfare.

I identify this housing-based insurance mechanism by examining how transitions into unemployment raise the likelihood of co-residence with parents, and shows that this relationship persists into middle age. I find that workers are approximately twice as likely to move home when transitioning from employment to unemployment than when remaining employed, a pattern that is robust across parent and child characteristics and persists into middle age, where co-residence motives are typically harder to disentangle. Motivated by this finding, I estimate a structural model of job search and family co-residence to identify the effects of this option on search behaviour and welfare. The model shows that access to co-residence leads workers to search in submarkets offering higher wages but longer expected search durations. For an *ex ante* consumer, the option to move home is equivalent in welfare terms to approximately a seventy percent increase in unemployment insurance benefits.

Existing work from Kaplan (2012) identifies this insurance channel among young men. A major challenge in extending this understanding to older workers is disentangling the motives for moving home. While existing empirical work documents co-residence as an insurance mechanism for young adults (Acolin et al., 2024; Albanesi et al., 2022; García-Andrés et al., 2021), the motives of older children are less clear. Shared housing acts as an in-kind transfer from parents to their adult children by reducing housing costs and diminishing the impact of negative income shocks. However, co-residence can also represent an in-kind transfer from children to their parents if they provide household labour and especially eldercare that the parent would otherwise need to purchase on the market. The degree to which parental needs are a confounding factor

for identifying the labour market insurance mechanism is increasing in the ages of parents and children. Applying this insurance channel to workers into middle age therefore requires controlling for parental health and caregiving needs, which I address using detailed information from the Health and Retirement Study.

I leverage the Health and Retirement Study (HRS), a panel dataset of Americans over 50 and their linked children. The focus of the HRS is health and aging, making it an imperfect tool for analysis of earnings risk and unemployment. However, the HRS has several key features that are essential for addressing the question of shared housing as labour market risk. First, it explicitly links parents and adult children, including when those children live away from their parents. Many datasets, administrative and otherwise, link parent and child records while they share a dwelling, but those links weaken or break as children move out. Second, it maintains these linkages over a period of approximately 20 years with a consistent set of observables. A comparable dataset with parent-child linkages is the National Longitudinal Survey of Youth (1997), which tracks parents and children beginning in 1997 to the present. While these two products cover similar timeframes, many of the linked variables such as co-residence are gradually dropped from the NLSY97 as the sample cohort ages. This makes the NLSY97 an obvious candidate for evaluating the co-residence flows and labour market outcomes among young adults, but it rapidly loses its efficacy as the population of interest increases in age.

Third, and crucially, the HRS provides detailed information on parental health and functional limitations, which is essential for distinguishing the labour market insurance motive from caregiving-related co-residence. As parents age, co-residence may reflect children responding to parent health shocks or providing eldercare rather than insuring against their own income risk. The HRS reports diagnoses, health histories, and limitations to independent living, as well as children's realized and anticipated caregiving, allowing me to control directly for these factors. This distinction also motivates the model restriction that the option to move home ends at age 40: beyond this point, parental health needs become increasingly salient, making co-residence less clearly interpretable as a labour market insurance mechanism. By directly controlling for these factors, I isolate the insurance motive for co-residence later in the life-cycle, extending existing empirical evidence beyond young adults.

I use these empirical observations to motivate a quantitative model of piece-rate job search and co-residence. In this environment, consumers vary in their individual-specific productivity and asset accumulation, which is tied to a savings choice. Working age individuals choose a submarket in which to search in

every period. These submarkets are identified on three dimensions: the worker’s age, which is observable by the firm and relevant for expectations of future match output; the worker’s productivity; and the piece-rate of match output which constitutes the wage of an offer. Additionally, workers also choose whether to live at home with a parent or independently until age 40. After that time, the option to move home is withdrawn as parents begin to face mortality risk. When able, children trade off some utility benefit of living independently against a financial cost of purchasing housing services on the private market. They additionally trade off wages and unemployment risk via their search choice; submarkets with higher job-finding probabilities offer lesser piece-rates and vice-versa.

Existing work in quantitative macroeconomics tends to take one of two approaches when modeling the co-residence choice among adult children. The first approach is to construct a strategic game between parents and children, and characterize the effects of economic characteristics on the sequential choices of both agents. Models of this kind can be considered as evaluating behaviour under a joint co-residence choice in static and dynamic settings (Kaplan, 2012, Zaber, 2018). In contrast, the second approach abstracts from strategic interaction between parents and children and instead evaluates the existence of the co-residence option as it affects other macroeconomic outcomes, typically in a dynamic setting (Dyrda et al., 2024). This paper takes the second approach, extending this literature by endogenizing labour supply decisions over the life-cycle in a directed search environment. Further, I estimate the value associated with the option to move home in the context of existing unemployment insurance programs.

Parameters estimated internally to the model target moments from the U.S. Bureau of Labor Statistics, U.S. Bureau of Economic Analysis, and earnings distribution estimates from Kuhn, Ríos-Rull, et al., 2016. One particularly important parameter in this environment is the utility benefit of living independently, for two reasons. First, this utility benefit is central to the main trade-off in terms of co-residence choice. Second, it is not observable or quantifiable in financial terms unlike the cost of housing. The utility benefit of independence is calibrated to target the aggregate share of workers in the Health and Retirement Study who move home following a job separation. The calibrated model can generate co-residence flows that increase during an employment-to-unemployment transition at all ages from 20 to 40.

When consumers have the option to move home, they select into submarkets with higher expected wages but longer search durations, consistent with co-residence providing insurance against labour market risk. This insurance allows workers to tolerate longer periods of unemployment in exchange for higher-paying

matches. Removing this option shortens average search duration by approximately 8 weeks and increases job-finding and employment rates. However, these improvements in employment outcomes come at the cost of match quality, leading to lower accepted wages on average. As a result, despite higher employment, equilibrium mean consumption and asset holdings decline.

I evaluate the welfare implications of co-residence by comparing the calibrated baseline economy to one in which all workers must live independently and pay a fixed housing cost. The welfare value of this option is largest when unemployment insurance (UI) benefits are low, indicating that co-residence and UI act as complementary insurance mechanisms. In aggregate, access to co-residence is equivalent, in ex ante welfare terms, to a 71% increase in UI benefits. This value persists over the life-cycle: workers aged 36–40 value the option at the equivalent of a 79% increase in UI benefits. This pattern reflects the greater vulnerability of older workers to income shocks, as they have fewer remaining working years to recover from unemployment and face a predictable decline in income at retirement. Consistent with this mechanism, I find that older workers rely less on assets to smooth consumption following an employment-to-unemployment transition, increasing the value of alternative insurance channels such as co-residence.

The remainder of this paper proceeds as follows: section 2 provides an overview and comparison of both the HRS and NLSY97, as well as identification of the labour market co-residence motive. Section 3 outlines the theoretical model of job search and non-market co-residence and section 4 explains the model estimation. Section 5 discusses the model validation and results; section 6 concludes.

2 Empirical Motivation

A primary challenge in identifying co-residence as a form of non-market insurance is separating returns to the parental home prompted by labour market shocks from co-residence driven by childcare, divorce, or eldercare. From the perspective of the adult child, moving home may follow a divorce or separation, particularly when outside housing options are costly. Among aging parents, co-residence may arise in response to increasing health or caregiving needs. Addressing this requires data that links parents and adult children over time and provides sufficient information on parental health and caregiving needs to rule out confounding motives. This section describes the data, establishes the empirical relationship between unemployment and co-residence, and clarifies the identification challenges it raises.

2.1 Data

Identifying the labour-market motives for co-residence requires data that simultaneously track adult children and aging parents over long horizons, making the Health and Retirement Study (HRS) uniquely suited to this analysis. The HRS is a biennial panel of roughly 20,000 U.S. households beginning in 1998, and its design provides repeated linkages between parents and adult children as both age. Crucially, the survey also collects unusually rich information on parental health, functional limitations, and caregiving requirements. This combination of intergenerational linkages and detailed aging-related measures is essential for distinguishing co-residence from labour market motivations versus those motivated by eldercare or parental need.

I use the RAND HRS Family File, which links the sample of parent households to 55,000 children at the individual level through 2018. Co-residence and employment transitions are constructed using adjacent survey waves. Because the HRS interviews every two years, I drop the initial 1998 wave to ensure all transitions are observed over two-wave intervals.

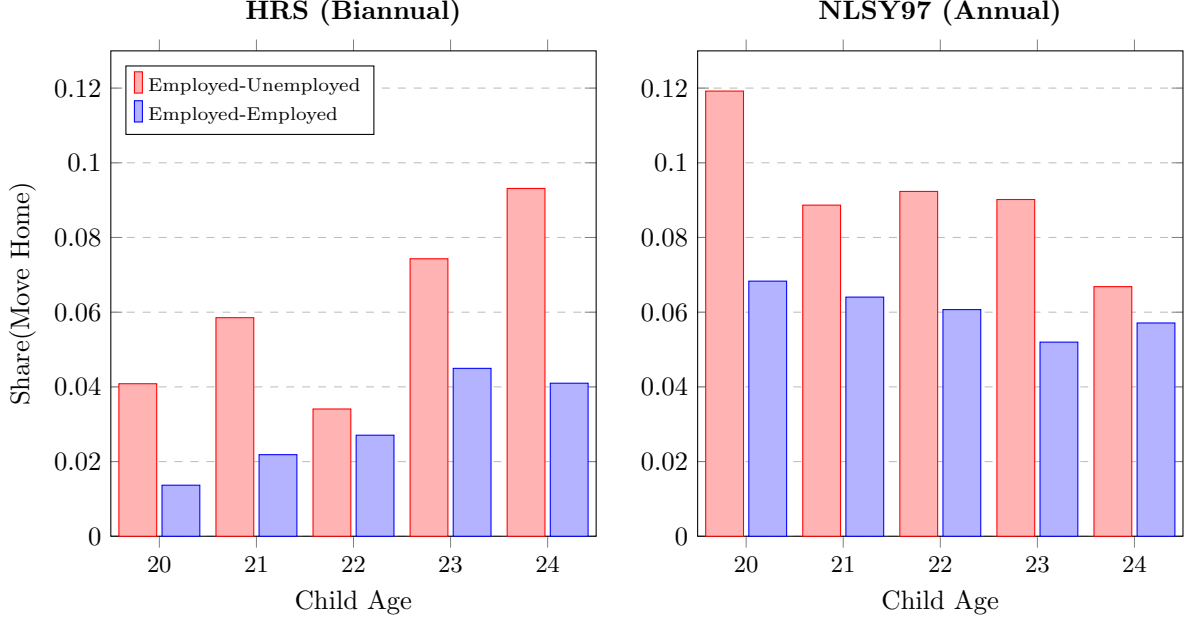
Although the HRS is uniquely suited for identifying co-residence motives into middle age, it is less ideal for measuring short unemployment spells or search duration. To complement the HRS, I incorporate evidence from the National Longitudinal Survey of Youth 1997 Cohort (NLSY97), which provides high-frequency labour market histories and reports co-residence through 2009, when the oldest respondents were 29. The NLSY97 validates the main HRS finding: EU workers are substantially more likely to move home. Additionally, the data include measure of unemployment spell length: living at home is associated with roughly 1.4 additional weeks of job search, consistent with reduced liquidity constraints and more selective search.

2.1.1 Comparability of the HRS and NLSY97

Although the HRS and NLSY97 differ in design and target populations, the key moments relevant for this analysis are highly comparable. Both datasets report co-residence status and employment transitions, and both show a pronounced increase in the likelihood of moving home following an Employed-to-Unemployed (EU) transition. The age profiles of move-home rates also align closely across the two datasets, with the probability of returning home declining steadily from the early twenties to age 40. These similarities indicate that the labour-market-driven co-residence patterns observed in the HRS are not an artifact of its older sample or biennial structure, but instead reflect a broader empirical regularity.

To evaluate the comparability of the two main datasets I use in this analysis, I present several key

Figure 1: Comparison of Move Home Trends Among the HRS and NLSY97



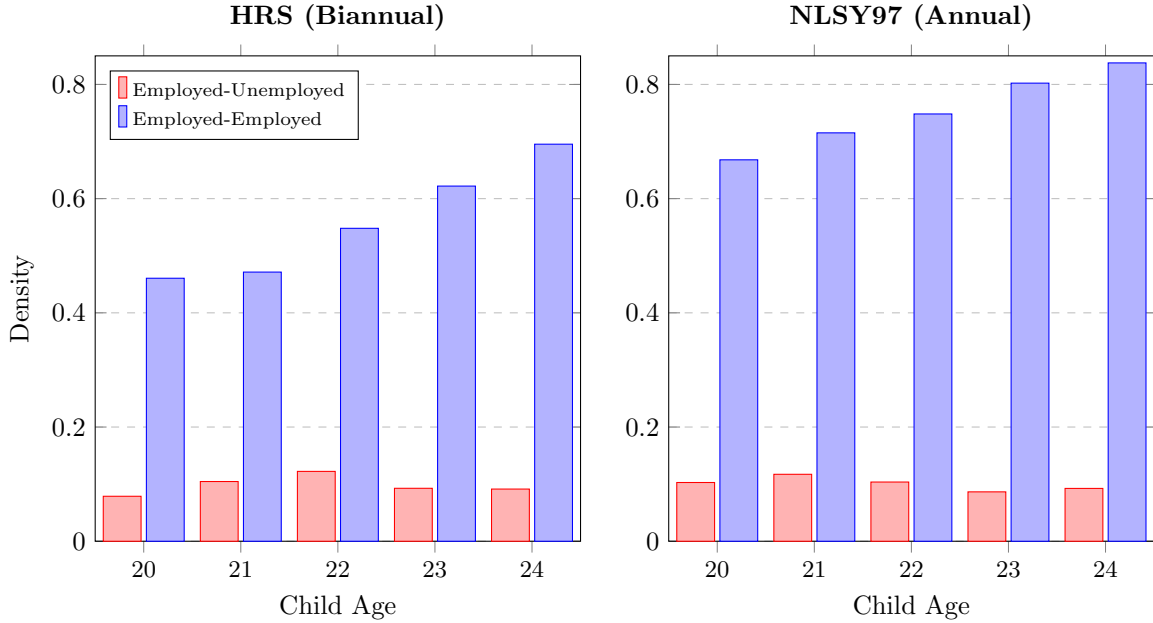
Note: At each age from 20 to 24, workers experiencing a job separation (EU) are more likely to move home relative to their peers who remain employed (EE). Additionally, there is a decreasing trend in move home flows by age present in the NLSY97. This is also present in the HRS, but over a longer range of ages as shown in the first panel of Figure 4.

moments. Figure 1 plots the relative mass of workers moving home conditional on job separation (EU) or job retention (EE). In both datasets, EU workers are significantly more likely to move home than EE workers. This strengthens the argument for co-residence as labour market insurance, because it shows the main empirical observation in the HRS is also present in the more commonly used NLSY97.

Figure 2 plots the relative density of workers conditional on job transition. In both datasets, job tenure and retention increase as workers gain valuable experience. Similar to the previous plot, there is a distinct difference in levels between the two datasets. One possible explanation for this variation is differences in the frequency of the datasets. The HRS is limited to reporting once every two years, while the NLSY97 is primarily annual and in some cases monthly or weekly. Transforming the NLSY97 to match the frequency of the HRS reduces these differences in levels to some degree but inconsistencies remain.

Another explanation is variation in the sample composition between the two surveys. For example, the

Figure 2: Comparison of Employment Transitions Between HRS and NLSY97 (2004)

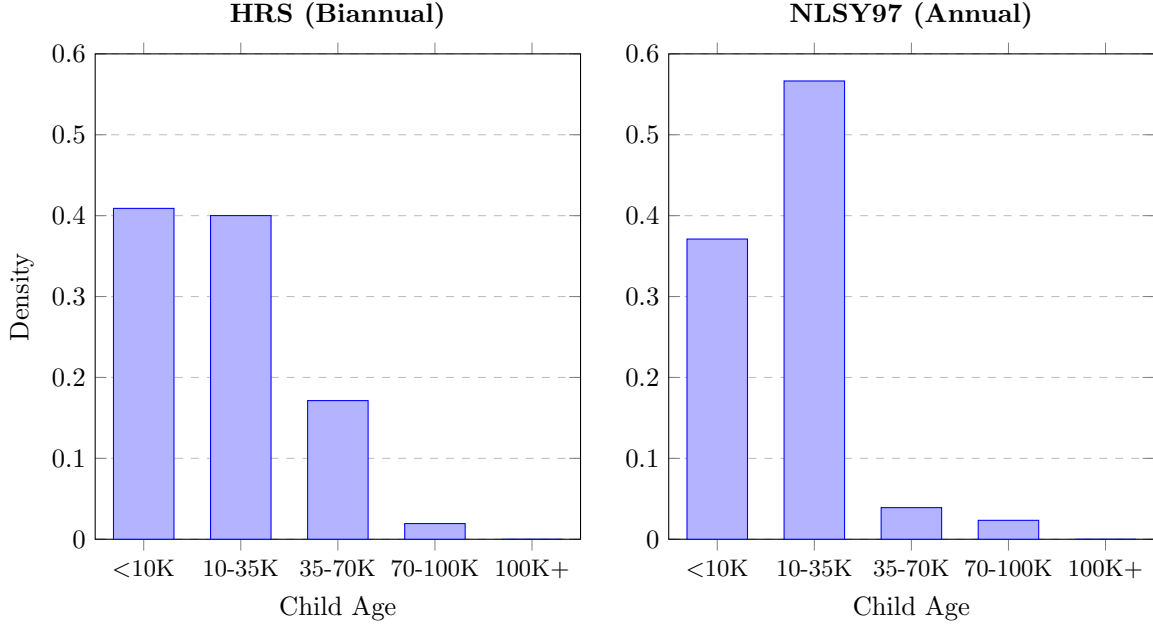


Note: As workers age, the relative mass of EE increases alongside job tenure. Estimates for EE densities vary significantly as a result of differences in survey composition and methodology. A comparison to a biannually-transformed NLSY97 is shown in appendix A.1.

HRS sample is targeted to be representative of Americans over 50, while the NLSY97 is a representative sample of individuals born between 1980 and 1984. These surveys target very different populations of interest so it is unsurprising that some moments, notably employment flows, are very different. It is encouraging then that even with these differences in sample composition that two facts remain: first, there is suggestive evidence that workers use the option to move home as labour market insurance. Second, employment flows, at least with respect to increasing job tenure across the life-cycle, are consistent across both the HRS and NLSY97.

Income distributions from the two datasets share similar features. Figure 3 shows the income distribution among 20-25 year-olds in the year 2004. Incomes are binned to align with the categorization present in the HRS. In both datasets, very few workers report incomes above \$70,000 and virtually none earn above \$100,000. Respondents in the HRS are slightly richer, reflected in a larger density in the middle (\$35 – \$70K

Figure 3: Comparison of Income Among 20-25 Year-Olds in the HRS and NLSY97 (2004)



Note: Income distribution between both the HRS and NLSY97. The HRS reports child income as a categorical variable and I have converted the NLSY’s continuous income to align the two datasets.

bin relative to the second-to-lowest ($\$10 - 35K$) category. Individuals with the lowest income are slightly more common in the HRS, but this difference is sufficiently small as to not be economically meaningful.

2.2 Sample Selection

The sample restrictions are designed to isolate co-residence decisions that reflect the child’s labour market conditions rather than parental need. The likelihood that co-residence reflects eldercare increases with the ages of both parents and children. To minimize this confounding channel, the sample is restricted to children aged 20–40, and post-secondary students are excluded. This age range preserves the insurance mechanism of interest while removing most cases in which parents have substantial caregiving needs.

Table 1 summarizes characteristics of children aged 20–40 across employment transitions. Demographic differences between EU and EE workers are modest, but the share of children who move home is substantially higher among those experiencing an EU transition. Before conditioning on any covariates, children who

separate from employment move home at nearly three times the rate of those who remain employed. EU children are also more likely to receive financial transfers from parents, consistent with parents providing support during periods of income loss.

Eldercare is not a major confounder in this age range. Assistance with activities of daily living (ADLs) and instrumental activities of daily living (IADLs) is rare—typically 1–2 percent—and is slightly more common among children who remain employed. These patterns indicate that co-residence among 20–40-year-olds primarily reflects the child’s labour market circumstances rather than parental health or caregiving needs.

Table 1: Summary Statistics for Children Aged 20–40 in the HRS

	All Children	EU Type	EE Type
Panel A: Demographics			
Age	32.1	31.9	33.2
Years of Education	13.6	13.0	12.2
Panel B: Co-residence			
Coresidence Share	.111	.155	.184
Move Home Share	.018	.057	.020
Panel C: Financial Transfers			
Share who Give to Parents	.018	.020	.015
Share who Receive from Parents	.215	.233	.163
Mean Transfer from Parents	\$1905.44	\$1671.21	\$1292.77
Panel D: Eldercare			
Share who Help with ADLs	.006	.010	.015
Share who Help with IADLs	.009	.015	.021
Share who Intend to Help in Future	.329	.343	.345

Note: Panel A reports mean child age and years of education. Panel B shows the static co-residence share and share of children who move home. Panel C lists the share of children who give and receive a transfer from their parent(s) as well as the size of the average transfer from a parent to their child. Panel D summarizes the share of children who assist with activities of daily living, instrumental activities of daily living, and intention to help with eldercare in the future.

In the first two panels of demographics and co-residence, there is little variation in most characteristics between EU, EE, and all children. However, the share of children who move home is much larger among EU children – suggestive of the key empirical observation summarized in Figure 1. Children transitioning out of employment move home at a rate $2.9\times$ larger than those who remain employed, before controlling for selection or further confounding characteristics.

One feature of the HRS that is useful when evaluating parental support is direct financial transfers between parents and children. This type of direct support also interacts with employment transitions since

it functions as an insurance mechanism similarly to co-residence. EU children are 43% more likely to receive a transfer from a parent and on average receive around \$400 more than EE peers.

The final panel in Table 1 is informative of parent needs driving co-residence. It reports child assistance with activities of daily living and instrumental activities of daily living, as well as future intention to help. The former two are measures used by the National Institute of Health to summarize necessary capabilities for aging individuals to live independently. Activities of daily living refer to the most basic activities including feeding oneself, mobility within the household, and personal hygiene. Instrumental activities refer to more complex tasks such as transportation, managing finances, and meal preparation. Panel D shows there is little overlap between EU transitions and additional eldercare for parents: EE children are helping aging parents at higher rates than EU. The relative size of these shares are also small, peaking at around 2% of children aiding parents. This indicates that the age restriction on the sample of children filtering out most eldercare relationships while preserving co-residence as labour market insurance for children.

2.2.1 Additional Evidence from the NLSY97

The NLSY97 reports the length of unemployment spells for youth moving between employers, which can be interpreted as a measure of search duration. Since employment and search are very noisy in the HRS, I leverage this feature of the NLSY97 to characterize the effects of co-residence on search behaviour. Intuitively, one can expect that children living at home are less financially constrained due to shared or avoided housing costs. This reduction of expenses affects the search process in two ways: first, workers may search less intensely, resulting in longer search times. Second, workers may reject otherwise viable offers if they are below their expected quality, both extending the search process but increasing wages conditional on a match.

I estimate a simple ordinary least-squares regression of co-residence status on the average search duration in weeks. Coefficient estimates are shown in Table 3 and the most relevant is the marginal effect of co-residing with parents on search duration. After controlling for age, education, gender, and additional covariates, living at home is associated with an additional 1.4 weeks of search time before matching. The sample of workers is restricted to only those who have experienced an EU transition to account recent for job separation. Education and sex are statistically significant in determining the duration of the search process, while age is not.

Table 2: OLS Estimation of Co-Residence and Search Duration Among EU Workers

Independent Variable	Coefficient	p-value
Co-Residence	1.389	0.034
Age		
20	0.561	0.883
21	1.584	0.677
22	3.304	0.399
23	3.203	0.425
24	3.181	0.419
25	3.294	0.409
Education		
Less Than High School	<i>Base</i>	
HS Graduate	−1.990	0.004
Some College	−1.548	0.446
Post-Secondary and Above	−2.431	0.055
Gender (Female)	−0.970	0.055

Note: Living at home is associated with an additional 1.39 weeks of job search before finding a match. Coefficients on age reflect the relative change in search duration compared to a worker aged 18. For the full specification and results including year fixed-effects, see appendix A.2.

2.3 Labour Market Co-Residence Motive

The empirical contribution of this paper is centered around the observation that a larger share of adult children move home when experiencing a transition from employment to unemployment relative to peers who are persistently employed. This trend, shown in Figure 1, is representative of non-market insurance against labour market risk via in-kind housing services. Existing work from Kaplan (2012) identifies this mechanism for non-college men aged 17 to 22. In this section, I expand this understanding to all workers up to age 40 while controlling for parent and child characteristics.

To identify the existence of this labour market insurance channel via non-market housing arrangements, I employ a probit regression of cross-wave employment flows on workers’ move home choice. A worker is considered to have “moved home” if in one survey period they are living independently and in a subsequent period are living with a parent. The primary covariates are employment flows: specifically for workers who are employed through two subsequent periods (EE) and those who separate from employment for any reason (EU). Additional controls include child characteristics such as income, education, marital status, and

Figure 4: Share Who Move Home and Move Out by Age and Employment Transition



Note: Flows into and out of the parental household among job-losers (EU) and job-finders (UE) respectively. For each age group, consumers transitioning out of employment move home at greater rates than their employed peers. Similarly, consumers transitioning into employment move out in greater proportions than those who remain unemployed. Additionally, both types of co-residence flows are falling as adult children age.

financial transfers from parents as well parent characteristics including assets, home values, education, and health conditions.

After controlling for these characteristics, workers experiencing an EU transition are $2.3\times$ more likely to move home with a parent relative to an identical worker with an EE transition. The likelihood of an adult child moving home is decreasing in their income and age, suggesting that workers in an EU transition will self-insure via residual earnings from employment before they elect to move in with a parent.

A straightforward counterfactual can confirm the reverse case of the labour market insurance motive and is shown in Figure 2. Instead of moving home when experiencing a job separation, children in the data also move out when they find a job. Specifically, workers in an Unemployed-Employed transition move out of co-residence at much higher rates than those who remain unemployed.

Table 3: Probit Predicting Move Home Likelihood

Independent Variable	AME	p-value
Child Employment Transition		
EE	<i>Base</i>	
EU	0.016	0.000
UE	0.004	0.040
UU	0.003	0.079
Child Income		
<10K	<i>Base</i>	
10–35K	−0.012	0.000
35–70K	−0.020	0.000
70–100K	−0.020	0.000
100K+	−0.024	0.000
Child Age		
20–25	<i>Base</i>	
26–30	−0.006	0.001
31–35	−0.008	0.000
36–40	−0.012	0.000
Parent Assets	-1.84×10^{-9}	0.021
Parent Home Value	3.86×10^{-9}	0.002
Parent Employment		
Not Working	<i>Base</i>	
Part-time Work	0.002	0.457
Full-time Work	0.003	0.008

Note: Average marginal effects are reported as relative changes from the mean (0.0076). For the full regression specification and table of covariates, see appendix A.1.

3 Model

This paper leverages a life-cycle model of consumption, savings, and co-residence. Relative to existing models of parents and children, this version abstracts from parent decisions to prevent strategic interactions between parents and children via differential transfers or availability of co-residence. Models that account for these interactions are richer but quantitatively demanding to estimate and thus cannot be applied to long time horizons in a life cycle setting. The main novel feature is the option workers have to move home, dependent on age, in an environment with a formal directed search and matching framework.

3.1 Consumers

Consumers are the primary decision-makers in this model and choose allocations for consumption (c) and savings (a') at every age. While unemployed, they choose a submarket in which to search indexed by piece-rate (ϕ), their age, and their individual-specific productivity (ϵ). If employed, they earn an after-tax piece-rate of output as their wage, subject to an age component of productivity (ν_j). If unemployed, consumers receive a government-financed unemployment benefit b ; during retirement, they receive a similarly funded pension benefit S .

All consumers in this environment are considered to be adult children in the context of multigenerational co-residence. This means that for each consumer there is some unmodelled agent, a parent, who is older than the child and provides non-market housing while they are able. When choosing where to live, consumers face a trade-off between independence utility (χ) and the cost of rental housing (κ_h). If they live at home ($d_h = 0$), they can avoid the cost of housing but forgo the utility benefits of living independently ($d_h = 1$). This decision is subject to a Type-I extreme value taste shock (ξ^c, ξ^i).

$$U(a, \epsilon, \phi, a', d_h) = \frac{c^{1-\sigma}}{1-\sigma} + d_h \chi \quad (1)$$

subject to

$$c + a' = (1 - \tau)\phi\epsilon\nu_j + (1 + r)a - d_h\kappa_h$$

when employed, and

$$c + a' = b + (1 + r)a - d_h\kappa_h$$

when unemployed.

The problem for a worker can then be split into three cases: employed, unemployed, and searching for work. Unemployed workers search for a match first, followed by choices conditional on their employment state. When searching, workers choose piece-rate which along with their age and individual-specific productivity determines a submarket (j, ϵ, ϕ). The value of search is a comprised of the values of employment and unemployment, weighted by the job finding probability $f(j, \epsilon, \phi)$.

$$V_s(j, a, \epsilon) = \max_{\phi} \{f(\theta(j, a, \epsilon))V_u(j, a, \epsilon) + [1 - f(\theta(j, \epsilon, \phi))]V_e(j, a, \epsilon, \phi)\} \quad (2)$$

Whether employed or unemployed, the consumer chooses savings and whether or not to live at home until age 40. After age 40, they live independently with certainty. Those with the option to move out face extreme value Type-I shocks on each option, co-residence and living independently, drawn from a common distribution. The value of unemployment prior to the realization of the shock is:

$$V_u(j, a, \epsilon) = \max \mathbf{E}_{\xi^c, \xi^i} \{V_u^{cores}(j, a, \epsilon) + \xi^c, V_u^{indep}(j, a, \epsilon) + \xi^i\} \quad (3)$$

The probability of a consumer choosing to live independently (h_u) will depend on the relative values of V_u^{cores} and V_u^{indep} as well as the EV scale parameter η which determines the variance of the shock process.

$$Pr(d_h = 1|u) = h_u(j, a, \epsilon) = \frac{\exp(\eta V_u^{indep}(j, a, \epsilon))}{\exp(\eta V_u^{indep}(j, a, \epsilon)) + \exp(\eta V_u^{cores}(j, a, \epsilon))} \quad (4)$$

Following the realization of the shocks, the unemployed consumer chooses saving for the current period before reentering the search process next period. This choice is summarized by a value function for each housing choice: co-residence and living independently. For an unemployed consumer who lives at home:

$$V_u^{cores}(j, a, \epsilon) = \max_{a' \geq 0} \left\{ \frac{c^{1-\sigma}}{1-\sigma} + \beta V_s(j+1, a', \epsilon) \right\} \quad (5)$$

subject to

$$c + a' = b + (1+r)a$$

When the unemployed worker lives independently, their problem is summarized as:

$$V_u^{indep}(j, a, \epsilon) = \max_{a' \geq 0} \left\{ \frac{c^{1-\sigma}}{1-\sigma} + \chi + \beta V_s(j+1, a', \epsilon) \right\} \quad (6)$$

subject to

$$c + a' = b + (1+r)a - \kappa_h$$

The problem for an employed consumer is defined similarly. The consumer makes a discrete choice

between co-residence and living on their own subject to extreme value shocks and their own age. The probability of such a consumer living independently is:

$$Pr(d_h = 1|e) = h_e(j, a, \epsilon, \phi) = \frac{\exp(\eta V_e^{indep}(j, a, \epsilon, \phi))}{\exp(\eta V_e^{indep}(j, a, \epsilon, \phi)) + \exp(\eta V_e^{cores}(j, a, \epsilon, \phi))} \quad (7)$$

where the discrete choice is given by:

$$V_e(j, a, \epsilon, \phi) = \max \mathbf{E}_{\xi^c, \xi^i} \{ V_e^{cores}(j, a, \epsilon, \phi) + \xi^c, V_e^{indep}(j, a, \epsilon, \phi) + \xi^i \} \quad (8)$$

After observing the co-residence shocks, the employed worker chooses their savings before facing a job destruction shock δ . If they are subject to the shock, they become unemployed and must search again in the following period. If they instead stay matched, they enter into employment next period without engaging in the search process. When an employed worker lives at home their value is:

$$V_e^{cores}(j, a, \epsilon, \phi) = \max_{a' \geq 0} \left\{ \frac{c^{1-\sigma}}{1-\sigma} + \beta[(1-\delta)V_e(j+1, a', \epsilon, \phi) + \delta V_u(j+1, a', \epsilon)] \right\} \quad (9)$$

subject to

$$c + a' = (1-\tau)\epsilon\phi + (1+r)a$$

As before, when living independently the employed worker's problem becomes:

$$V_e^{indep}(j, a, \epsilon, \phi) = \max_{a' \geq 0} \left\{ \frac{c^{1-\sigma}}{1-\sigma} + \chi + \beta[(1-\delta)V_e(j+1, a', \epsilon, \phi) + \delta V_u(j+1, a', \epsilon)] \right\} \quad (10)$$

subject to

$$c + a' = (1-\tau)\epsilon\phi + (1+r)a - \kappa_h$$

When consumers reach age 65, they enter retirement and receive a constant pension benefit S . Each period they make a savings decision and face an age-dependent mortality risk ψ_j . The problem of retirees can be expressed as:

$$V_r(j, a) = \max_{a' \geq 0} \left\{ \frac{[S + (1+r)a - a']^{1-\sigma}}{1-\sigma} + \beta\psi_j V_r(j+1, a') \right\} \quad (11)$$

3.2 Firms

A representative firm chooses whether or not to post in each submarket at a common cost κ_p . Submarkets are identified by a minimum required productivity for workers and a piece-rate of the match output offered by firms. Additionally, the firm takes the worker's age into account when making the posting decision as it influences expectations of future output as well as an age component of individual-specific productivity. Once a match is formed, it persists until a job destruction shock is received with probability δ or the worker reaches retirement age. The firm's value can be expressed as:

$$V_f(j, \epsilon, \phi) = (1 - \tau)\epsilon\nu_j(1 - \phi) + \beta[(1 - \delta)V_f(j + 1, \epsilon, \phi) + \delta V_p(j + 1, \epsilon, \phi)] \quad (12)$$

Where $q(\theta(j, \epsilon, \phi))$ is the firm's job filling probability determined by the search process. Matching in this environment is determined via a Den Haan et al. (2000) function of the form:

$$M(u, v) = \frac{uv}{(u^\alpha + v^\alpha)^{1/\alpha}}, \quad \theta = \frac{v}{u}$$

where job filling and finding probabilities are:

$$q(\theta(j, \epsilon, \phi)) = \frac{M(u, v)}{v} = \left[\frac{1}{1 + \theta^\alpha} \right]^{1/\alpha}$$

$$f(\theta(j, \epsilon, \phi)) = \frac{M(u, v)}{u} = \left[\frac{1}{1 + (1/\theta)^\alpha} \right]^{1/\alpha}$$

A submarket will have vacancies posted as long as there are non-negative expected profits from operating. In other words, the firm must produce enough to cover the cost of posting. This free entry condition can be expressed as:

$$V_p(j, \epsilon, \phi) = \max\{q(\theta(j, \epsilon, a))V_f(j, \epsilon, \phi) - \kappa_p, 0\} \quad (13)$$

Given the production market is competitive, profits in equilibrium will be zero and $V_p(j, \epsilon, \phi) = 0 \forall (j, \epsilon, \phi)$ submarkets where the firm posts.

3.3 Equilibrium

Definition 1. Given state vectors $s_u = (j, a, \epsilon)$, $s_e = (j, a, \epsilon, \phi)$, $s_r = (j, a)$ and an exogenous interest rate r , an equilibrium in this model is characterized by policy functions $c_u(s_u), c_e(s_e), c_r(s_r), h_u(s_u), h_e(s_e), a'_u(s_u), a'_e(s_e), a'_r(s_r), \phi(s_u)$ and stationary distributions of consumers $\omega_u(s_u), \omega_e(s_e), \omega_r(s_r)$ such that:

1. The policy function $\phi(s_u)$ solves the problem of the searcher given in (2)
2. The policy functions $c_u(s_u), a'_u(s_u), h_u(s_u)$ solve the problem of the unemployed consumer given in (3)
3. The policy functions $c_e(s_e), a'_e(s_e), h_e(s_e)$ solve the problem of the employed consumer given in (8)
4. The policy functions $c_r(s_r), a'_r(s_r)$ solve the problem of the retired consumer given in (11)
5. The free entry condition (13) must hold in all submarkets where firms post vacancies
6. The government sets a proportional tax on labour income (τ) which satisfies their budget constraint

$$\int \tau \epsilon \phi \, d\omega_e(j, a, \epsilon, \phi) = \int b \, d\omega_u(j, a, \epsilon) + \int S \, d\omega_r(j, a) \quad (14)$$

4 Calibration

The main externally estimated parameter in this model is the job destruction rate (δ), which is computed from the annualized share of EU consumers who move home in the HRS. Consumer risk aversion (σ), discount factor (β), and interest rate (r) are taken at values standard from the literature; match elasticity (α) is imported from the seminal paper by Den Haan et al. (2000). Series for survival probabilities are taken from the Social Security Administration's Bell and Miller (2005) life tables and the age profile of earnings is estimated in Raveendranathan and Stefanidis (2025) using the Panel Study of Income Dynamics.

A summary of the internal parameter estimates can be found in Table 5. The most important estimate from the perspective of the co-residence-based insurance is the independence utility, χ , which is targeted to match the share of EU workers who move home in the HRS. The labour market in this model is identified by the cost of posting, κ_p , targeted to the unemployment share and the standard deviation of productivity, σ_ϵ , targeted to the standard deviation of log earnings for workers aged 26 to 30. The fiscal system is estimated

Table 4: External Parameters

Parameter	Value	Source
Panel A: Housing		
κ_h Rent to income ratio	0.05	
η EV distribution scale	1.000	
Panel B: Labour Market		
α Match elasticity	1.27	Den Haan et al. (2000)
δ Job destruction rate	0.02	EU share (HRS)
ν Age profile of earnings		Panel Study of Income Dynamics
Panel C: life-cycle		
σ Risk aversion	2.00	
β Discount factor	0.96	
r Interest rate	0.04	
ψ Survival probabilities		Social Security Administration

Table 5: Internal Parameters

Parameter	Value	Target	Model	Data
χ Independence utility	4.703	EU move home share	.0413	.0413
κ_p Cost of posting	.0034	Unemployment share ^a	.0478	.0420
b UI benefit	.2454	UI exp. to income ratio ^b	.0042	.0042
S Social security benefit	.7537	SS exp. to income ratio ^c	.0525	.0525
σ_ϵ St. dev. productivity	.8868	SD log earnings (age 26-30) ^d	.9000	.9000

^a U.S. Bureau of Labor Statistics (2025)

^{b,c} U.S. Bureau of Economic Analysis (2024c)

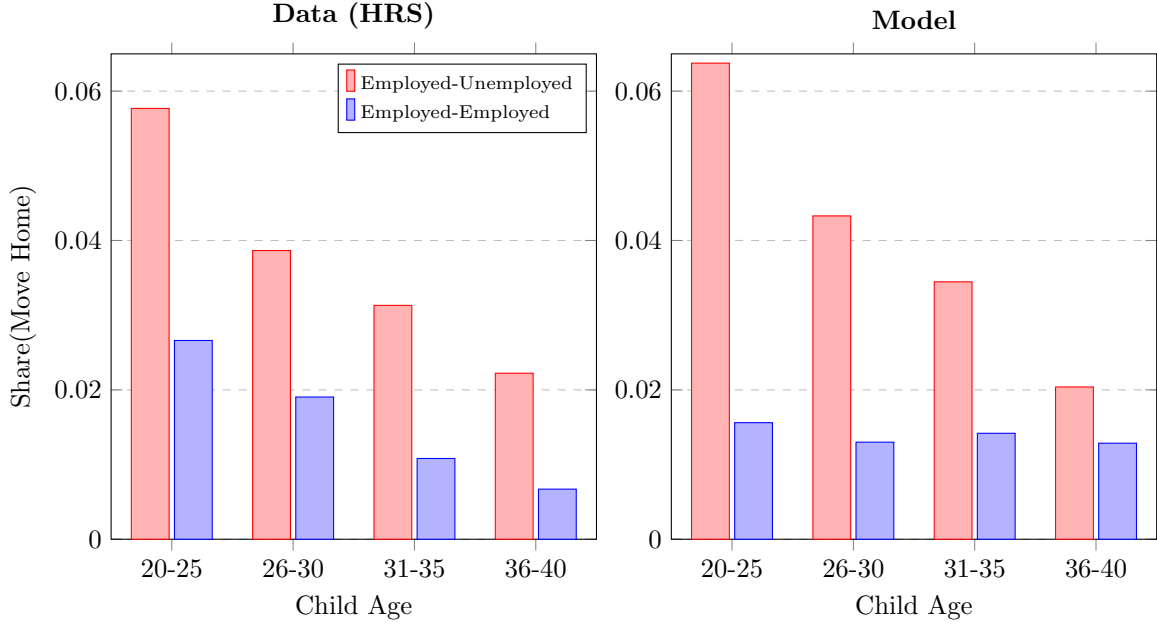
^d Kuhn, Ríos-Rull, et al. (2016)

via unemployment insurance (b) and pension benefits (S), which are targeted to aggregate spending on UI and pensions, respectively.

5 Results

This section evaluates joint flows of employment and co-residence generated by the quantitative model. These flows are compared against the empirical trend of EU workers moving home in greater proportions than EE. Further, it outlines positive and normative results concerning job search behaviour, model aggregates, welfare in terms of unemployment insurance benefits, and heterogeneity in welfare by age.

Figure 5: Comparison of Move Home Flows Between Model and Data



Note: Move home flows are larger for EU consumers and are decreasing in age.

5.1 Model Validation

The quantitative model can reproduce two empirical patterns that provide evidence for housing decisions acting as form of labour market insurance. To show this, I compute the share of consumers who move home while also experiencing an employment to employment (EE) transition relative to those who experience an employment to unemployment transition (EU). These simulated move home flows are contrasted against comparable moments from the HRS in Figure 6.

Across age groups, EU consumers are significantly more likely to move home than their EE peers. This is indicative of moving home acting as an insurance mechanism against these labour market transitions and associated earnings risk. In an environment where housing costs represent a significant share of consumption during unemployment, moving home can be optimal even when forgoing independence utility.

The magnitude of this effect is also decreasing in the consumer's age, at least for the EU type. This has several implications. As consumers age, they are more able to self-insure in their household through saving

rather than co-residing. If living independently is sufficiently rewarding, EU workers will dissave before they move home. Another reason age influences the move home choice among workers is because it interacts with incomes via individual-specific productivity. As workers age, they become richer as their productivity rises, but also relatively poorer as they approach retirement and have fewer opportunities to match with a firm and earn income. Retirement acts as a negative income shock in this model because it is mandatory at age 65 and for most workers public pensions are smaller than employment income, though greater than unemployment insurance. Based on the declining nature of move home flows by age, it appears as though the positive productivity effect outweighs the negative retirement effect.

5.2 Job Search Behaviour and Model Aggregates

The option to move home has important implications for worker search behaviour, asset accumulation, and periodic consumption. When individuals do not have access to parental co-residence, income shocks from unemployment pass through to consumption at greater rates than otherwise. In response, job searchers can alter their submarket choice to trade off wages for a higher likelihood of employment. These factors among consumers aged 20-40 are summarized in Table 6.

Table 6: Model Aggregates with and without the Move Home Option

	Baseline	No Co-Residence	Relative Δ (%)
Employment Share	0.95322	0.95623	+0.316
Average Job Finding Rate	0.36288	0.38735	+6.743
Tax Rate	0.06525	0.06492	-0.505
Average Assets	3.60543	3.60159	-0.107
Average Consumption	2.03555	2.03407	-0.073

Note: Computed among workers aged 20-40 to control for the ability to move home. Restricting the move home option results in higher employment and job finding rates as well as lower taxes, assets, and consumption.

Constructing an environment where everyone must purchase housing increases employment via the job finding rate. This additional employment however does not lead to significantly increased asset accumulation or consumption – suggesting any financial gains from increased employment are absorbed by the mandatory cost of housing.

The most notable result is the over 2 percentage point increase in the job finding rate. The submarket choice, alongside savings, is the main mechanism consumers can control to influence their risk of and con-

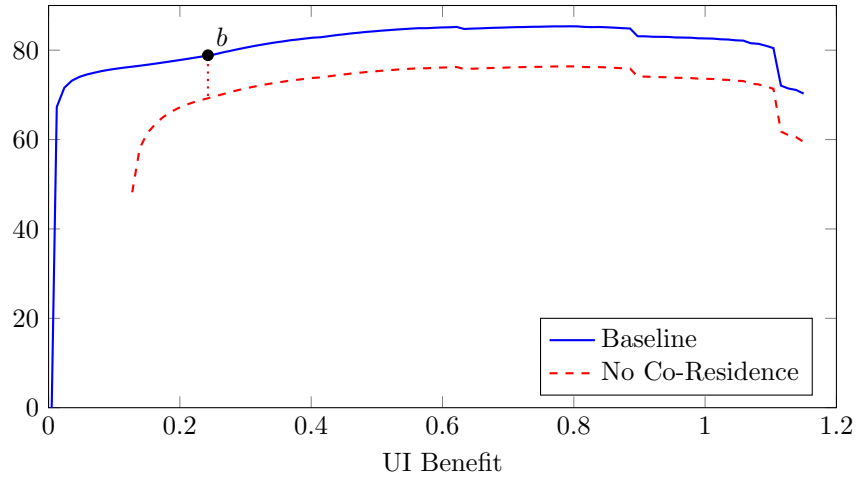
sumption loss from unemployment. The increase in the job finding rate in the absence of co-residence is equivalent to .1525 model periods (years) or approximately 8 additional weeks of search before a match.

Taken together, these results demonstrate that co-residence meaningfully reshapes job search behaviour by relaxing liquidity constraints and enabling workers to pursue higher-wage jobs. Removing this option compresses search durations, raises employment, and lowers wages, ultimately reducing consumption and wealth. This counterfactual highlights the central mechanism of the model: co-residence functions as a non-market insurance channel that allows workers to trade off longer unemployment spells for better long-run outcomes.

5.3 Welfare from Co-Residence

Beyond establishing the existence of co-residence as labour-market insurance, it is worth examining how much this insurance channel is worth to consumers. The quantitative model is able to provide some insight using a counterfactual where instead of having the option to move home, consumers receive an elevated unemployment insurance benefit such that they are indifferent to the availability of parental co-residence.

Figure 6: Lifetime Expected Utility Conditional on UI Benefit



Note: The welfare associated with the move home benefit is largest when UI benefits are small. Note that no co-residence case is not well-defined for $b \leq \kappa_h$.

The vertical distance between the two plotted curves in Figure 7 is an estimate of welfare from the co-

residence option. To evaluate this welfare in the context of an existing UI benefit, I measure the vertical distance (~ 9 utils) in terms of how much of a reduction in UI would induce the same utility reduction in an environment without co-residence. I find that ex ante the welfare from the option to move home is equivalent to a 71% increase in current UI benefits.

The relative welfare benefit of the move home option is largest at low levels of UI. For example, the vertical distance between the two curves is much larger below b , the calibrated UI benefit, than above. This relationship implies that unemployment insurance and the move home option are complementary insurance mechanisms against labour market risk. In an environment with a generous UI system, non-market insurance through shared housing is relatively less important for the welfare of workers. In contrast, when unemployment is more punishing through reduced benefits the welfare implications of moving home are significant.

5.4 Welfare Across the Life Cycle

An under-examined aspect of parent-child co-residence is how the relationship between these two agents evolves as they both age. In Section 2, I presented rising parent needs later in life to motivate restricting co-residence in the model to adult children aged 40 and under. Even with this restriction designed to isolate labour market motives for co-residence, there is significant variation in move home flows by age. However, as shown in Table 7, this variation is not reflected in the value of the move home option across age groups. Older workers aged 36-40 value the option to co-reside almost as much as those aged 20-25, but do not exercise it nearly as often as younger workers. This is also true of workers in the middle of the age distribution: those aged 26-30 and 31-35 both value the move home option more than 20-25.

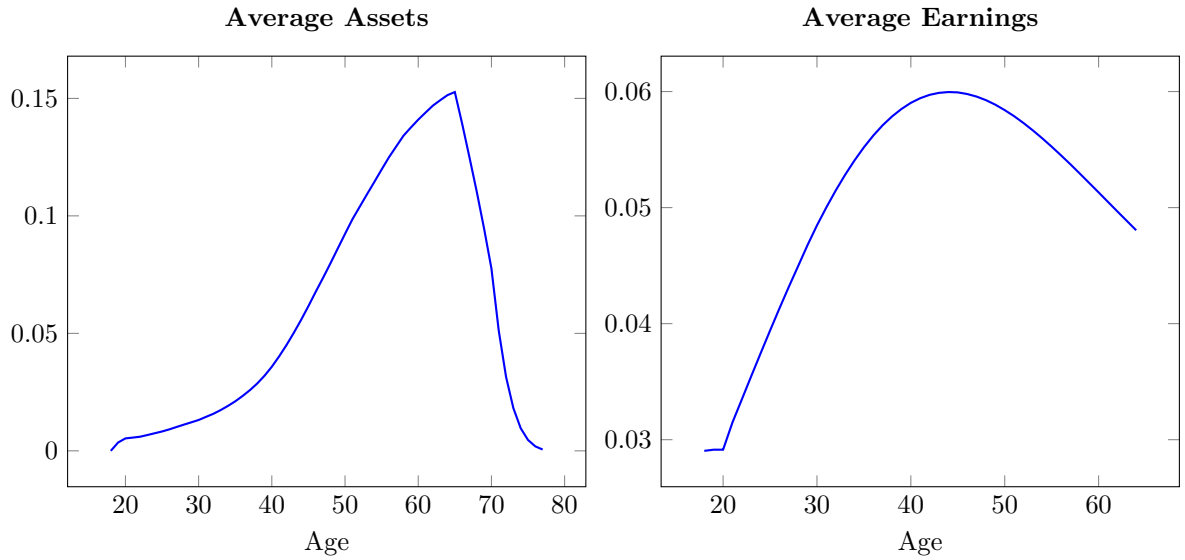
Table 7: Welfare by Age in Terms of UI Benefits

Age	Equivalent UI Benefit	Relative Δ (%)
20-25	0.13383	83.76
26-30	0.12741	93.02
31-35	0.12613	95.00
36-40	0.13768	78.62

Note: Estimates for welfare converted into an implied UI benefit. Column 2 presents the UI benefit that would make each age group indifferent between having the move home option versus being unable to move home in an economy with the baseline UI benefit (.245921). Column 3 shows the relative increase in the UI benefit that would provide equivalent welfare to allowing adult children to move home with their parents.

One reason that the move home option is exercised relatively less as workers age is because they become better able to insure without co-residence. As workers age, they are on average better off in the current period. This is for two reasons: first, as shown in the first panel of Figure 8 they accumulate assets each period in which they work, and only begin to dissave when entering retirement. Second, the model includes a hump-shaped age component of individual-specific productivity to account for on-the-job experience. This age component of labour income can be seen in the second panel of Figure 8, where earnings are increasing into middle age but declining as retirement approaches. Falling wages later in life, however, are less damaging in welfare terms relative to early in life due to higher average assets.

Figure 7: Assets and Earnings by Age



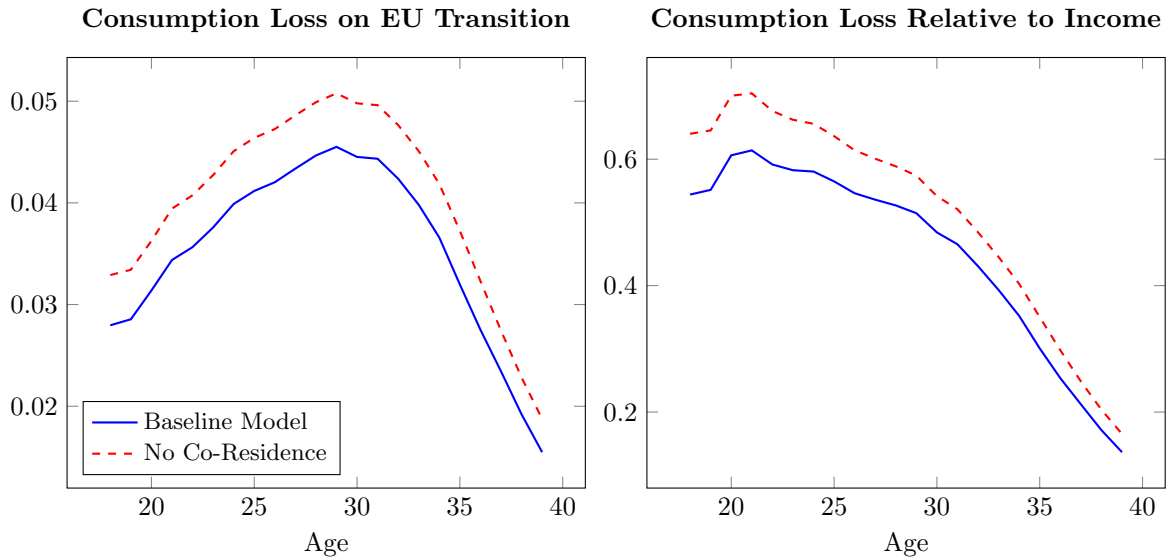
Note: Age profile of assets and earnings at the mean. Assets accumulate throughout the worker's life until they choose to dissave rapidly in retirement. Earnings are computed as after-tax labour income among the employed. Earnings rise early in life but decline as workers approach retirement for two reasons. First, the age component of productivity is sharply increasing at young ages before leveling off in late-middle age and declining slightly before retirement. Second, wages are partially determined via a posting decision by firms. Since age is both observable and relevant for future earnings flows, firms will naturally offer higher wages (piece-rates) to younger workers in expectation of output in future periods in the absence of a job destruction shock.

However, workers are not necessarily better off in lifetime terms as they age. Since this model environment features a finite horizon life-cycle, the present expected utility of an individual is declining as they age and approach mortality. Additionally, in the absence of savings retirement will result in a large consumption

loss relative to working periods. The potential negative effects of retirement on consumption create an environment where aging is ambiguous in welfare terms. Older agents can save more and have higher wages, however they have fewer additional years of work where they can accumulate assets and enjoy those heightened wages. This results in an environment where older workers are wealthier but also more vulnerable to future income losses.

These dynamics are reflected in the consumption responses to job separation. Figure 9 shows that consumption losses on an EU transition decline with age, both in levels and when normalized by income, because older workers rely more heavily on accumulated assets to smooth consumption. Yet the option to move home reduces consumption losses at all ages, indicating that co-residence provides meaningful insurance even for workers with substantial savings.

Figure 8: Consumption Losses on Job Separation



Note: One way to examine the value of an insurance mechanism is to evaluate behaviour following a negative income shock (unemployment). In the first panel, high consumption losses when young are driven by a desire for asset accumulation. As workers age and become wealthier, they increasingly substitute assets to offset potential declines in consumption. When controlling for difference in income, it is clear that consumption losses on an unemployment shock are monotonically declining in age. However, there are still insurance benefits to co-residence at all ages. This can be seen through the vertical distance between consumption losses in the baseline model and in the counterfactual with no option to co-reside.

When I examine only workers who move home on an EU transition, in that they live independently when

Table 8: Consumption Change on EU Transition

Age	Baseline Model (% Δ)	No Co-Residence (% Δ)
31	+14.9	-14.9
32	+8.9	-19.4
33	+5.4	-22.0
34	+3.4	-23.5
35	0	-26.0
36	-3.6	-28.7
37	-5.5	-30.1

Note: Consumption losses conditional on an EU transition in the baseline and no co-residence model environments. At some ages (< 35), consumption rises as workers age regardless of employment status. This is due to positive expectations of future wages and differences in future opportunities to work based on time endowments. For older workers, a job separation is associated with consumption losses relative to the previous period. However, in an environment without the co-residence option all workers reduce consumption during an EU transition. At ages where consumption falls in both the baseline and counterfactual scenarios, losses are larger in the economy without the option to move home.

employed and live at home when unemployed, I find further evidence of the move home option being used as a consumption smoothing mechanism. As shown in Table 8, an EU transition among older workers leads to a consumption loss, whereas for younger workers consumption still increases slightly. This is due to differences in future expectation of higher-wage periods that are declining in age. Among all ages, consumption while unemployed is higher in a model economy with the option to move home relative to a counterfactual where everyone lives independently. This indicates that the option to move home provides consumption insurance not just in the aggregate, but among those children who intend to move home on an EU transition.

The welfare value of co-residence is both quantitatively large and persistent across the life cycle. Older workers exercise the option less frequently, but they value it highly because they face greater vulnerability to future income shocks and have fewer remaining working years to rebuild assets. Co-residence therefore remains an important form of non-market insurance well into middle age, complementing both savings and formal UI programs.

6 Conclusion

This paper provides new evidence that co-residence between parents and adult children operates as a meaningful form of non-market insurance well into middle age. Using linked panel data from the Health and Retirement Study, I document that workers up to age 40 exhibit a substantially higher likelihood of returning to the parental home following a job separation, even after conditioning on a wide range of parental characteristics that become increasingly salient with age. These include parental health diagnoses, functional limitations, medical histories, and the provision of eldercare by specific children. The persistence of co-residence flows across the life cycle, and their robustness to controls for parental need, indicates that shared housing remains an important response to labour market shocks long after the early career period typically emphasized in the existing literature.

To interpret these empirical patterns, I develop a structural life-cycle model of directed search in which workers choose both a submarket in which to search and a living arrangement, either independently or with a parent. The model embeds a fixed cost of independent housing and allows workers to avoid this cost by co-residing with parents until age 40, at the expense of a utility loss from reduced independence. This framework captures the central trade-off facing workers: co-residence relaxes liquidity constraints and increases their ability to search for higher-wage jobs, but it also entails non-pecuniary costs. The calibrated model successfully reproduces the empirical co-residence flows observed in the HRS, including the elevated propensity to move home following an employment-to-unemployment transition and the decline in these flows with age. The model also clarifies the mechanism behind these patterns: co-residence allows workers to tolerate longer unemployment spells, search more selectively, and accept higher wages.

Counterfactual exercises highlight the quantitative importance of this mechanism. Removing the option to move home shortens unemployment durations by approximately eight weeks and increases job-finding rates, but at the cost of lower accepted wages, reduced consumption, and diminished asset accumulation. These results underscore that co-residence affects not only the level of unemployment but also the composition of matches formed in equilibrium. The welfare consequences are substantial. For an *ex ante* worker, access to co-residence is equivalent to a 71 percent increase in unemployment insurance benefits. Moreover, the welfare value of co-residence remains large for workers aged 36–40, who treat the option as equivalent to nearly an 80 percent increase in UI benefits. This pattern reflects the interaction between rising asset holdings, declining

future earnings horizons, and the heightened vulnerability of older workers to income shocks.

Several avenues for future research emerge from this analysis. Empirically, there is value in investigating how the prevalence of this co-residence insurance mechanism varies across local housing markets. This paper relies on an abstraction of a common housing cost experienced by all workers: relaxing that assumption or imposing variation in housing costs may provide further insight. Quantitatively, this analysis could be extended to account for strategic interactions between parents and children to examine issues of under-saving and differential support to siblings. Further, allowing for two-sided bargaining in wage formation will allow for measurement of match quality on the firm side instead of limiting the examination to wages on the worker side. For policymakers, understanding how informal non-market insurance interacts with public insurance programs remains an outstanding question. This analysis demonstrates that co-residence is a quantitatively significant component of the household's insurance portfolio and future work can build on this foundation to explore its broader macroeconomic and distributional implications.

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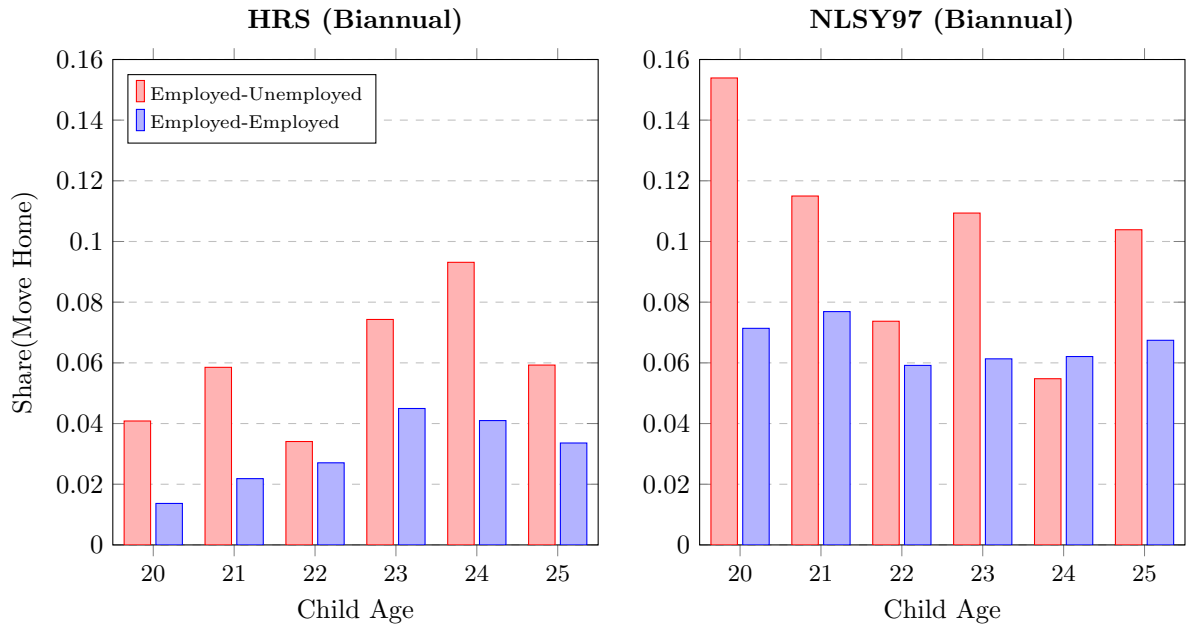
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A Appendix

A.1 Robustness: HRS versus Biannual NLSY97

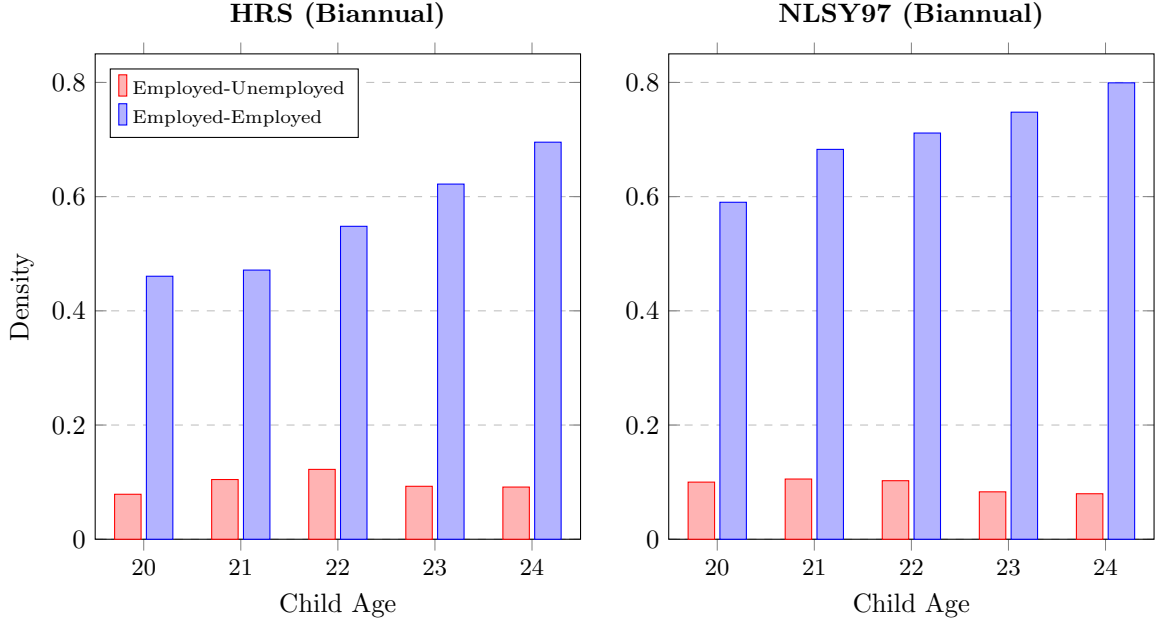
One limitation to comparing moments from the HRS and NLSY97 is the differences in frequency between the two surveys. This is relatively straightforward to correct simply by transforming the NLSY into a biannual dataset. This process is akin dropping approximately half of the observations from the NLSY97 and is thus very costly from the perspective of statistical precision. Nonetheless, this transformation can be valuable to understand the role of survey frequency in differences in moments between the two sources. Figure 10 shows the share of workers who move home conditional on EU and EE transitions. In section 2.1.1, I pointed out a difference in levels between the two datasets. Adjusting the NLSY97 to a biannual frequency exacerbates these differences in levels, resulting in move home shares in the NLSY97 that are significantly larger than when treating the data annually. Figure 11 report employment flows under a similar adjustment.

Figure 9: Comparison of Move Home Trends Among the HRS and NLSY97



Note: EU workers are more likely to move home relative to their EE counterparts. Adjusting the NLSY97 to mimic the biannual nature of the HRS does not shrink the differences in levels between the two datasets, but instead increases them.

Figure 10: Comparison of Employment Transitions Between HRS and NLSY97 (2004)



Note: Biannually transforming the NLSY97 reduces the difference in levels slightly, but comparability issues persist. As discussed in section 2.2.1, these issues likely arise from differences in sample design.

A.2 NLSY97: Search Duration and Co-Residence

Table 10 reports the full OLS specification first presented in section 2.2.1. I estimate a regression equation of the form:

$$\begin{aligned}
 SearchDuration = & \beta_0 + \beta_1 CoResidence + \beta_2 Year + \beta_3 Age + \beta_4 Education \\
 & + \beta_5 Gender + \beta_6 Transfer from Parent + \epsilon
 \end{aligned}$$

Where **Year**, **Age**, and **Education** are vectors of indicator variables corresponding to β_2 , β_3 , and β_4 vectors of coefficients for those indicators, respectively.

Age and year fixed-effects are generally not statistically significant with one exception: 2009. This is not entirely surprising, as workers at this time were experiencing the effects of the Great Financial Crisis, and as during any recession the most severe employment effects are disproportionately borne by low-productivity

and low-tenure workers. These estimates are relatively imprecise, but the marginal effect of living at home on search duration are significant and economically meaningful. Additional measures of overall model fit such as the coefficient of determination (R^2) and a joint test of coefficient significance (F -test) indicate the model is well estimated.

Table 9: OLS Estimation of Co-Residence and Search Duration: Full Results

Independent Variable	Coefficient	p-value
Co-Residence	1.389	0.034
Year		
1999	<i>Base</i>	
2000	0.840	0.657
2001	0.875	0.617
2002	1.195	0.480
2004	1.652	0.376
2005	0.671	0.741
2006	−0.448	0.827
2007	−0.230	0.914
2008	2.528	0.245
2009	7.489	0.001
Age		
18	<i>Base</i>	
19	0.078	0.9840
20	0.561	0.883
21	1.584	0.677
22	3.304	0.399
23	3.203	0.425
24	3.181	0.419
25	3.294	0.409
26	2.598	0.518
27	4.748	0.247
28	2.683	0.519
29	3.273	0.470
Education		
Less Than High School	<i>Base</i>	
HS Graduate	−1.990	0.004
Some College	−1.548	0.446
Post-Secondary and Above	−2.431	0.055
Gender (Female)	−0.970	0.055
Financial Transfer from Parent	−1.114	0.112
Constant	8.030	0.054

Note: R^2 : 0.0766, F -statistic: 4.43

A.3 HRS: Pr(Move Home) Probit Estimation

Table 9 reports the full probit introduced in section 2.3. Individual observations correspond to pairs of parents and children. Standard errors are clustered at the pair-level and the McFadden's R^2 is 0.1307. A joint Wald test of significance on all coefficients rejects the null hypothesis with extreme confidence. The formal specification is:

$$Pr(MoveHome) = \alpha_0 + \alpha \textit{Year} + \beta \textit{X}^c + \gamma \textit{X}^p + \delta \textit{X}^h + \eta \textit{X}^e + \epsilon$$

The vectors of characteristics are as follows:

- Child characteristics: $\textit{X}^c = \{\text{Income, Education, Age, Gender, Employment Transition, Marital Status, Parental Status}\}$
- Parent characteristics: $\textit{X}^p = \{\text{Income, Assets, Primary Residence Value, Education, Employment}\}$
- Parent health characteristics: $\textit{X}^h = \{\text{High Blood Pressure, Diabetes, Lung Disease, Heart Disease, Ever Had Stroke, Ever Had Cancer}\}$
- Eldercare characteristics: $\textit{X}^e = \{\text{Child Helps with ADLs, Child Helps with IADLs, Child Intends to Help in Future}\}$

Table 10: Pr(Move Home) Probit: Full Estimation

Independent Variable	AME	p-value
Year		
2000	<i>Base</i>	
2002	0.00246	0.182
2004	0.00483	0.023
2006	0.00024	0.898
2008	0.00738	0.001
2010	0.00369	0.076
2012	0.00466	0.016
2014	0.00504	0.020
2016	0.00782	0.000

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Table 10: Average Marginal Effects on Pr(Move Home) (continued)

Independent Variable	AME	p-value
2018	0.01095	0.000
Child Income		
<10K	<i>Base</i>	
10–35K	−0.01155	0.000
35–70K	−0.02003	0.000
70–100K	−0.02035	0.000
100K+	−0.02411	0.000
Child Education		
Less Than High School	<i>Base</i>	
High School Graduate	−0.00433	0.193
Partial College Completion	0.00203	0.563
College and Above	−0.00141	0.669
Child Age		
20–25	<i>Base</i>	
26–30	−0.00629	0.001
31–35	−0.00837	0.000
36–40	−0.01244	0.000
Child Employment Transition		
E–E	<i>Base</i>	
E–U	0.01588	0.000
U–E	0.00353	0.040
U–U	0.00331	0.079
Child Gender (Female)	−0.00338	0.000
Child Marital Status	−0.02618	0.000
Child Parental Status	0.00034	0.790
Child Helps w/ ADLs	0.01627	0.007
Child Helps w/ IADLs	0.01269	0.007
Child Intends to Help in Future	0.01125	0.000
Parent Income	6.22×10^{-10}	0.802
Parent Assets	-1.84×10^{-9}	0.021
Parent Home Value	3.86×10^{-9}	0.002
Parent Education		
Less Than High School	<i>Base</i>	
GED	−0.00300	0.263
High School Graduate	0.00412	0.028
Partial College Completion	0.00276	0.135
College and Above	0.00397	0.037
Parent Employment		

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Table 10: Average Marginal Effects on Pr(Move Home) (continued)

Independent Variable	AME	p-value
Not Working	<i>Base</i>	
Part-time Work	0.00160	0.457
Full-time Work	0.00318	0.008
Parent has High Blood Pressure	−0.00091	0.435
Parent has Diabetes	−0.00007	0.960
Parent has ever had Cancer	−0.00107	0.464
Parent has Lung Disease	0.00067	0.689
Parent has Heart Disease	0.00069	0.583
Parent has ever had a Stroke	0.00518	0.005

Note: Average marginal effects are expressed in relative deviations from the mean share of children who move home (0.007518). McFadden's R^2 : 0.1307; Wald χ^2 : 1236.79